

09:22 08Aug11 RTRS-HSBC in trade finance partnership with IDB affiliate

DUBAI, Aug 8 (Reuters) - HSBC Holdings <HSBA.L> signed a memorandum of understanding with an affiliate of the Islamic Development Bank to facilitate sharia-compliant trade financing activities on behalf of ITFC's customers, the lender said in a statement on Monday.

The affiliate, Islamic Trade Financing Corp. (ITFC) is expected to disburse over \$2 billion of trade financing to companies in Asia, the Commonwealth of Independent States, Middle East and North Africa (MENA) and Africa, said Waleed Al-Wohaib, chief executive of the ITFC.

It seeks to develop trade among the 57 member countries of the Organisation of the Islamic Conference. The statement did not provide any financial details regarding the partnership.

HSBC will provide the letters of credit on behalf of ITFC customers who import or export goods as well as offer syndication and co-financing to help boost Islamic trade finance.

"Islamic trade financing is set to become the next pillar of growth for the industry," said Razi Fakhri, deputy chief executive of HSBC Amanah, the bank's Islamic arm.

"HSBC believes that trade and capital flows between the emerging countries of the world are likely to increase significantly over the next few decades."

Total trade finance among the OIC members, which includes Saudi Arabia, Malaysia and Turkey, is expected to reach \$4 trillion by 2012, according to AAOIFI and could spur growth in the nearly \$1 trillion Islamic finance industry. [ID:nLDE756010]

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